STERLING · SBG FUNDING AI GUIDE

Research notes

docs/RESEARCH_NOTES.md · October 29, 2026

What the knowledge base and rules are based on, where the sources disagree, and which rules were written for this prototype rather than taken from SBG. Research was done in October 2026.

Sources

SBG Funding's own site (primary source; it wins every conflict):

- Company: About us, home page, contact, customer stories, credit application terms
- Requirements and process: FAQs, the most-cited page in the knowledge base
- Products: business financing and each product page (term loan, line of credit, working capital, SBA, equipment, invoice, bridge, HELOC, plus the bad-credit, no-collateral, fast and emergency pages)
- Industries: industries and 15 industry pages, each listing recommended products and typical uses
- Calculators: funding calculator and line of credit calculator, including the JavaScript behind them, which `lib/engine/estimator.ts` ports
- Education: factor rate vs. interest rate, merchant cash advances, resources

Third-party reviews (Bankrate, Finder, LendingTree, Business News Daily, ConsumerAffairs, United Capital Source, Business.com, Review42, BestMoney). Direct fetches of these sites were blocked from the build environment, so their claims come from search-engine summaries. Treat them as secondhand.

Not reachable: the application (apply.sbgfunding.com) and the customer portal (app.sbgfunding.com). Sterling links to both but knows nothing about what happens inside them.

Every section of `knowledge/source/*.md` names the page it was paraphrased from, and those links appear as citations in Sterling's answers.

What SBG publishes

Fact	Value
Minimums	500+ personal FICO, 6+ months in business, $150,000+ annual revenue, 4 most recent business bank statements
HELOC	600+ FICO, 6+ months, no revenue minimum
Credit check	Soft pull only to apply; "no hard credit pull"
Range	$5,000 to $10,000,000; all 50 states

Fact	Value
Scale	$3B+ since 2017; 28,000+ businesses; 64,000+ transactions
Speed	Decisions in as little as 24 hours for most products; SBA typically 30–90 days
Model	Direct provider of revenue-based financing (balance-sheet arm: Net Funding); marketplace for other products through lending partners
Excluded industries	Adult entertainment and gambling
Contact	844-284-2725, Monday to Friday 9am–6pm ET; 240 W 40th Street, 8th Floor, New York, NY 10018
Legal entity	Mission Capital LLC; founder and CEO Jeffrey Sachs

Products

Product	Amount	Term	Speed	Collateral	Cost
Revenue-based financing	Sized to monthly revenue	No set term; repaid from sales	Same-day decision, funds in ~24h	None	Factor rate, fixed upfront
Term loan	$5K–$10M	6–48 months	Same-day decision, funds in ~24h	None	From 1.25%/month
Line of credit	$5K–$500K limit	Revolving	Same-day draws once approved	None	Interest on drawn balance; draw fee up to 2%
Working capital	$5K–$10M	3–24 months	Same-day decision, funds in ~24h	None	Fixed weekly or monthly payments
SBA 7(a)	Up to $5M	10–25 years	30–90 days to close	May be required	Prime-based, SBA rate caps
Equipment financing	Up to 90% of equipment value	24–60 months	Same-day decision, funds in ~24h	The equipment	Fixed weekly or monthly payments
Invoice financing	Up to 90% of invoice value	Per invoice	Same-day decision, funds in ~24h	The invoices	0.5%–5% per month plus 0–2% origination
Bridge capital	$5K–$10M	Weeks to months	Same-day decision, funds in ~24h	None	Tied to the repayment event

Product	Amount	Term	Speed	Collateral	Cost
Business HELOC	Up to 85% of home value minus mortgage	Revolving	Can take longer	Your home	Variable, typically prime-based

The calculator model

From the scripts behind SBG's two calculators. Ported exactly, including the boundary behavior.

- **Points.** Time in business: not started 0, under 6 months 1, 6–12 months 3, 1–2 years 6, over 2 years 11. Credit: under 550 → 0, 550–599 → 1, 600–679 → 3, 680–719 → 6, 720+ → 11. Monthly revenue: ≤$8K → 1, ≤$10K → 2, ≤$20K → 3, ≤$30K → 6, ≤$40K → 9, more → 14.
- **Tiers.**

Score	Multiplier	Factor rate	Term	Payments
10–16	0.75×	1.22	12 months	Weekly
17–21	1.5×	1.24	15 months	Weekly
22–30	2.25×	1.26	24 months	Twice monthly
31–36	2.5×	1.28	36 months	Monthly

  Below 10: no estimate, and the script suggests a HELOC or an advisor.
- **Amounts.** Revenue is rounded up to its bracket ceiling with a strict `<`, so exactly $8,000 rounds to $10,000. The result is multiplied and rounded up to $100. The payment is rounded to the nearest $10.
- **Line of credit.** Limit = 2 × monthly revenue, rounded up to $5,000. Factor 1.28 over 24 months. The script has no cap; Sterling caps the limit at SBG's published $500K maximum and says so in the code.

Where sources disagree

Topic	SBG says	Third parties say	What Sterling does
Minimum revenue	$150,000 a year	Bankrate: $400,000. Finder: $250,000. United Capital Source: $180K–$350K. Review42: $10K a month plus six statements	Uses SBG's figure; the knowledge base says reviewers' figures vary and to confirm with an advisor
Minimum credit	500	Various: 500, 550, 600; Business.com cites 650 and two years for a higher-tier product	Uses 500 (600 for HELOC)
Credit pull	Soft pull only	ConsumerAffairs: soft pull to pre-approve, hard pull before funds go out	Follows SBG; says applying won't affect the score
Pricing	Factor rates, monthly rates	LendingTree: quoting factor or monthly rates instead of APR makes comparison harder	Explains factor rate vs. APR in the knowledge base

Topic	SBG says	Third parties say	What Sterling does
Products	Nine programs	ConsumerAffairs: no asset-based or inventory financing	Lists only SBG's programs
Freshness	Current site	Several reviews are dated (one updated October 2023)	Treats third-party figures as background, never as terms

Ratings reported: Bankrate 4.6/5 (February 2026); SBG cites a 4.9 Trustpilot rating.

Rules written for this prototype

SBG doesn't publish these. They're reasonable defaults, kept in code where they're easy to change, and an SBG advisor or product owner would need to confirm them.

Rule	Where	Notes
How well each product fits each need (a 0–3 weight per need and product)	`PURPOSE_FIT` in `lib/engine/eligibility.ts`	Informed by SBG's "quick guide by need" and comparison pages
+1 when SBG's industry page recommends the product	`evaluateProduct()`	The recommendations are SBG's; the weight is mine
−1.5 for products that take more than a week when the customer needs money within a week	`evaluateProduct()`	SBA is 30–90 days; HELOC is assumed to take about 3 weeks
"Strong fit" means no blockers, no customer-specific cautions and a fit of at least 2	`evaluateProduct()`	Product-wide caveats (SBA paperwork, HELOC collateral) are shown but don't lower the status
Show the HELOC first when nothing else fits and the owner has home equity	`evaluate()`	Mirrors the calculator's HELOC suggestion
Ask about invoices only for general needs in invoice-heavy industries; a repayment event only for bridges and acquisitions; home equity only when revenue is short, credit is 600+ and time in business passes	`conditionalQuestions()` in `lib/engine/flow.ts`	Keeps the intake short
Credit bands map to a typical score (e.g., 600–679 → 640)	`CREDIT_BANDS` in `lib/engine/profile.ts`	People know their band better than their exact score
Complaints and hardship are high priority; servicing tickets carry no product suggestions	`lib/handoff/escalate.ts`	

Rule	Where	Notes
Escalate complex deals: SBA, acquisitions, real estate, or more than $1M	System prompt	A judgment call left to the model
Retrieval confidence: high ≥ 0.50 cosine, low < 0.33	`lib/rag/retriever.ts`	Calibrated on the eval set
The SBA 650+ note	`evaluateProduct()`	From SBG's SBA page: scores of 650 and above are generally stronger candidates